Brazil Macro Monthly

A Fiscal Challenge for the New Government

Highlights

- The global economy is expected to weaken considerably in 2023 amid persistent inflationary pressures, higher geopolitical risks, and tighter financial conditions;
- In Brazil, economic activity remains on an upward trend, but at a slower pace and with greater sectoral heterogeneity in recent months. This dynamic supports our expectation that GDP will expand by 2.8% in 2022 and 1.0% in 2023;
- We project a surplus of 1.5% of GDP for the Public Sector this year. For 2023, main challenges will be fitting additional spending within the budget and establishing a new (and credible) fiscal anchor;
- Current and prospective inflation dynamics point to continued disinflation. We project IPCA at 5.6% for 2022 and 5.2% in 2023;
- We maintain our exchange rate forecast at R$/US$5.00 at the end of 2022 and at R$/US$ 5.30 for the end of 2023. We raised our projections for the current account deficit (from USD 37,5 bn to USD 41,6 bn) and FDI surplus for this year (from USD 79,5 bn to USD 89,0 bn);
- Under the hypothesis that a new and credible fiscal anchor will be adopted, we keep our scenario that the Selic rate will remain at 13.75% until mid-next year and drop to 10.00% by 2023 yearend.

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XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	8.5
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.6	5.2
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	1.5	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	77.5	81.2
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	46.3	54.0
Exports (USD Bn)	231.9	221.1	209.2	280.8	338.4	329.0
Imports (USD Bn)	185.3	185.9	158.8	219.4	292.1	275.0
Current Account (USD Bn)	-51.5	-65.0	-24.5	-28.1	-41.6	-46.0
Current Account (% GDP)	-2.7	-3.5	-1.7	-1.7	-2.2	-2.3
FDI (USD Bn)	78.2	69.2	44.7	46.4	89.0	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.8	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

Foreword – One eye on the team, the other on the cap

Former President Lula won 51% of the valid votes and will serve a third presidential term, starting in January 2023.

The market awaits details on the economic team and on a strategy to address short-term fiscal challenges. In particular, how to accommodate campaign promises that increase spending and reduce revenue; and what will replace the spending cap as the medium-term fiscal anchor.

As stressed in our previous reports, a clear, credible and tight expenditure rule is key for debt sustainability and, therefore, for the country's macroeconomic stability. If successful, a renewed fiscal framework will give room for interest rate cuts in 2023 and for higher potential GDP growth. Brazilian assets would perform well.

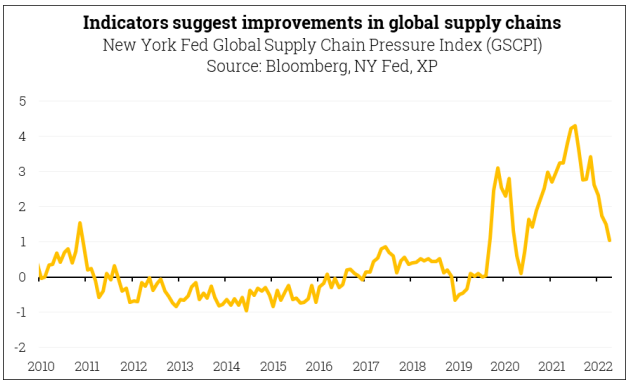
Having said that, the pressure for fiscal expansion is massive and there seems to be no political and social consensus that fiscal balance is the correct path. Thus, risks persist.

Risks are also persisting in the international scenario. It remains unclear how much further interest rates will rise in developed countries, while the war in Ukraine has escalated and political uncertainties in China have increased.

Our forecasts have changed little since last month. We expect the Brazilian and world economy to rebalance, after a period of adjustment to correct post-pandemic excesses (inflation, overheating labor market). The upcoming events, both globally and locally, will tell if this scenario will be confirmed.

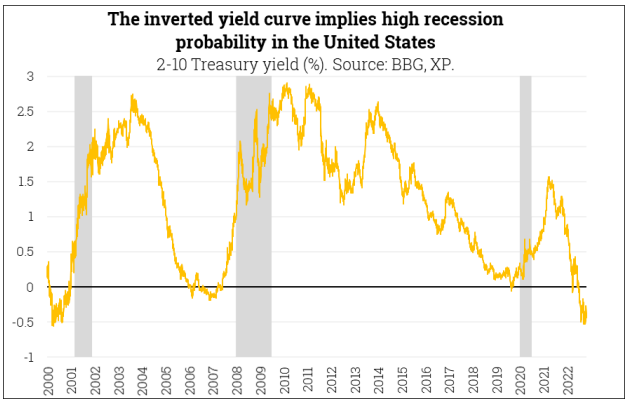
Global Backdrop: Global economic slowdown amid persistent geopolitical risks

Disinflation is likely to be accompanied by a material slowdown in activity. Despite inflation remaining at high levels around the globe, signs of disinflation have become increasingly apparent. Lower commodity prices, contractionary monetary policy around the world, and normalizing supply chains are expected to contribute to easing price pressures. At the same time, with tighter financial conditions and persistent geopolitical risks, the global economy is expected to weaken considerably in 2023.



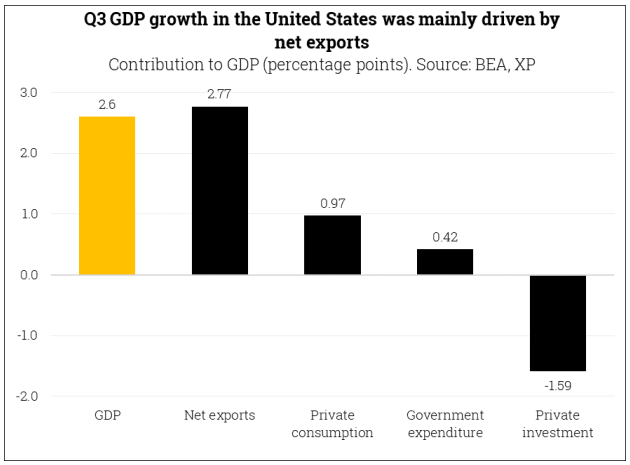
The Fed raised interest rates to 4.0% in its November meeting. The September inflation and labor market data gave no relief for the central bank to decrease the pace of monetary tightening. With high inflation and heated labor market, the Fed continues in "whatever it takes" mode. Financial conditions are now becoming much tighter than what was expected a few months ago, and markets are pricing the terminal Fed Funds rate at around 5.0%.

We expect the US to enter a mild recession in 2023. GDP expanded by 2.6% in Q3, owing chiefly to the significant positive contribution from net trades. Nevertheless, private investment fell, and consumption has continued to soften. In addition, leading indicators suggest that the US economy is slowing down considerably, reflecting the initial effects of tighter financial conditions. Given the lagged effect of monetary policy, the US economy should weaken further in 2023 and most likely enter a mild recession.



Europe is on the verge of a recession, and winter is worrying. The conflict between Russia and Ukraine continues to hamper terms of trade in European economies, causing inflation to persist at historically high levels. With no prospects of a resolution, it has become increasingly likely that European economies, which are heavily dependent on imports from Russia, will have a shortage of energy supplies during the winter. Moreover, the ECB has been hiking interest rates at a fast pace in an attempt to reduce inflationary pressures. The combination of tighter financial conditions and inflation affecting purchasing power will likely drive economic activity into a period of contraction in 2023.

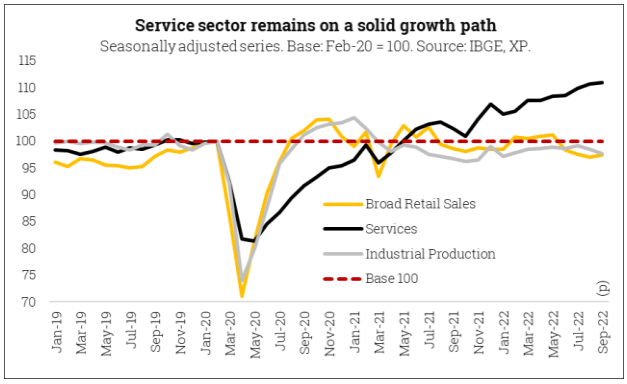
The Chinese economy remains weak, and geopolitical risks increased. GDP grew by 3.9% in Q3 on year-on-year terms, and China registered growth significantly below the 5.5% target in the first three quarters of the year. The result reinforces that, despite the considerable amount of monetary and fiscal stimulus, the economy continues to slow down amid weakness in the property market and the persistence of the zero-Covid policy. On the political front, President Xi Jinping extended his mandate for five more years, and the Chinese Communist Party gained significant political power. Markets reacted negatively to the news, reflecting concerns that China may adopt less pro-market economic policies and focus on strengthening its military power.



Brazil: A Fiscal Challenge for the New Government

Economic Activity – On a positive trajectory, with signs of cooling

Mild slowdown in the second half. Domestic activity remains on an upward trend, despite the loss of steam and greater sectoral heterogeneity in recent months. On the one hand, retail sales and industrial production have been cooling down, especially on segments more sensitive to credit conditions (e.g., durable goods). Meanwhile, the service sector maintains its leading role, driven especially by activities linked to household demand, which still reflects the normalization of the consumption pattern after the economic reopening.

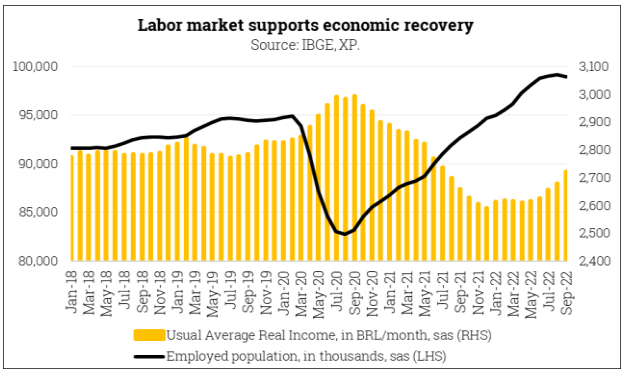


Labor market as a support factor. The unemployment rate continues to fall, albeit at a more moderate pace. According to our estimates, the seasonally adjusted monthly rate stood at 8.5% in September, around 3pp below pre-pandemic levels. We expect this indicator to reach around 8.0% by the end of this year, which already incorporates the deceleration in job hiring seen in recent months. In turn, real labor income remains on a steady recovery trend (there was an uninterrupted increase between May and September), in line with the tight labor market and the short-term decline in inflation. The average real income, which is still circa 4% below pre-pandemic levels, is expected to expand further in the coming months.

GDP Breakdown (annual change, %)	2022 (F)	2023 (F)
Agriculture and Livestock	0.5	7.2
Industry	1.7	0.4
Services	3.6	0.8
Total GDP	**2.8**	**1.0**
Household Consumption	3.7	1.2
Government Consumption	1.5	0.7
Gross Fixed Capital Formation	-1.3	-0.9
Exports	1.9	2.3
Imports (-)	-2.5	1.4

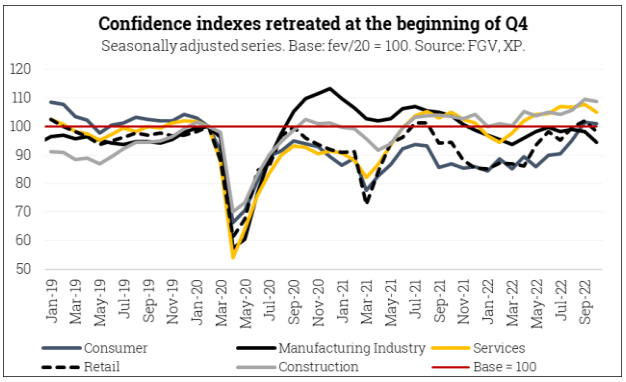
Source: IBGE, XP.

Therefore, we reiterate the expectation of a 2.8% growth for 2022 GDP. We estimate that headline GDP will grow 0.6% QoQ in Q3 and 0.2% QoQ in Q4. Considering such projections, the statistical carry-over effect for next year's GDP growth would be positive by 0.7pp.



For 2023 GDP growth, our forecast remains at 1.0%. The lagged effects of tighter monetary policy and the deterioration of the global macroeconomic outlook marked by increasing risks of recession should be relevant obstacles to activity in Brazil over the next quarters. These factors may have influenced, although partially, the worsening of business and consumer confidence indices last month. Conversely, we foresee robust results in 2023 for sectors that are less sensitive to the economic cycle, particularly the agriculture and mining industries.

Finally, our simulations point to an increase in Brazil's potential GDP. Amidst the bullish surprises coming from the activity indicators in the recent period as well as uncertainties on the reform agenda in the next presidential term, discussions about a possible greater structural growth are gaining strength. Hence, we carried out simulations with different scenarios for the investment rate, total factor productivity and labor market conditions. In short, we consider long-term economic growth between 1.4% and 1.9% to be the most likely estimate. In our baseline scenario, Brazil's potential GDP grows at an annual pace of 1.8%. For details, see the report [XP Macro Special: Discussions on cyclical recovery and structural economic growth].



Investment Rate | TFP		Total Factor Productivity (annual growth rate, %)								
		-0.4	-0.2	0.0	0.2	0.4	0.6	0.8	1.0	1.2
Investment Rate (%)	14	-0.32	-0.12	0.09	0.29	0.50	0.71	0.91	1.12	1.32
	15	-0.09	0.11	0.32	0.53	0.73	0.94	1.14	1.35	1.56
	16	0.14	0.34	0.55	0.76	0.96	1.17	1.37	1.58	1.79
	17	0.37	0.58	0.78	0.99	1.19	1.40	1.61	1.81	2.02
	18	0.60	0.81	1.01	1.22	**1.42**	**1.63**	1.84	2.04	2.25
	19	0.83	1.04	1.24	1.45	**1.66**	**1.86**	2.07	2.27	2.48
	20	1.06	1.27	1.47	1.68	1.89	2.09	2.30	2.50	2.71
	21	1.29	1.50	1.71	1.91	2.12	2.32	2.53	2.74	2.94
	22	1.52	1.73	1.94	2.14	2.35	2.55	2.76	2.97	3.17

Source: IBGE, IPEA, FGV. Estimates: XP.

Fiscal – New government, same challenges

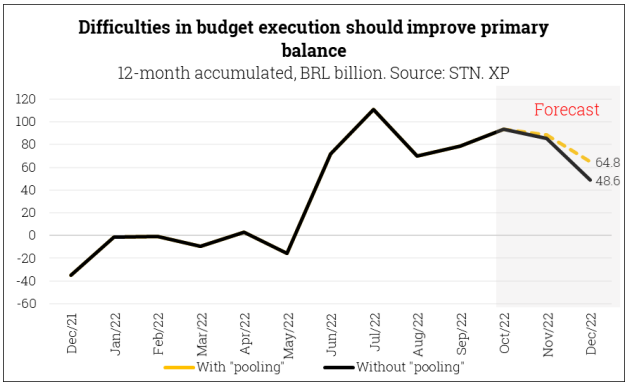
Short-term results remain on a positive trend. In September, federal tax collection grew by 4.1%, reaching another monthly high, with revenues related to corporate profits as the highlight. The Central Government recorded a surplus of BRL 11 billion, the largest for the month since 2010, owing chiefly to revenues from dividend payments from state-owned companies. Finally, the public sector registered a monthly surplus of BRL 10.7 billion, leading the 12-month accumulated figure to BRL 181.3 billion (1.9% of GDP).

We revised our scenario for 2022. The September results and the perspective that collections will remain strong in the coming months support the revision of our scenario in the short term. Additionally, we include in our forecast a lower spending due to the "pooling" of resources (expenses appropriated but not commited), which has been recurrent in recent years. **Thus, we now expect a surplus of BRL 64.8 billion for the Central Government and a surplus of BRL 145 billion (1.5% of GDP) for the Public Sector in 2022.**

2023 scenario started to be drawn. In a document released last week, the now-elected president presented a set of measures that must be implemented in his government. Taken together, the proposals have an estimated impact of BRL 250 billion, of which at least BRL 123 billion are new expenses. However, whether due to the need to promote legislative changes, due to the high impact of some proposals or due to the inherent difficulty in the budget execution of investments, we believe that the immediate impacts should be smaller than those indicated.

We expect an increase in expenses of at least BRL 140 billion. In addition, the new government should resume current expenditures related to cultural and recreation transfers and health programs, among others.

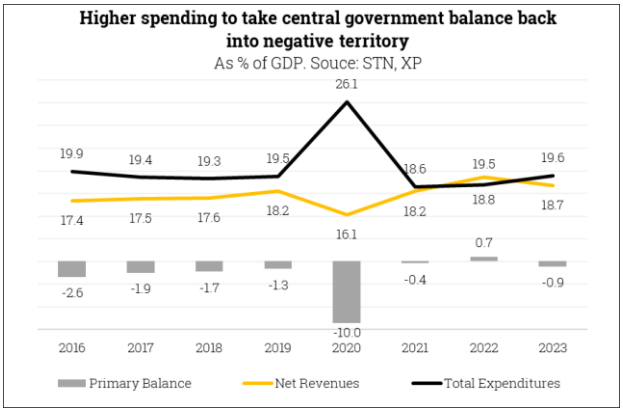
First challenge will be to change the budget for next year. To fulfill its promises from 2023 onwards, the new government must approve a constitutional amendment within the National Congress this year with a temporary license to raise expenses above the limit imposed by the existing spending cap rule. Another option is to negotiate with Congress to approve the budget only in 2023, which would allow the new government to issue a provisional measure maintaining the value of BRL 600 for *Auxílio Brasil* welfare program from January 1st and work on approving a new fiscal rule in the first quarter. However, the latter involves a high risk of discontinuity in the Public Administration.



Measures	BRL billions
Revision of Personal Income Tax Brackets	122.0
Auxílio Brasil cash transfers of BRL 600	52.0
Additional Auxílio Brasil of BRL 150 for children	16.2
Investiments program*	50.3
Increase in minimum-wage above inflation (2%)**	9.7
Total	250.2

*Average value for the recorded series, adjusted by inflation
** For 2023

Measures not included in the "Letter"	BRL billions
PIS/Cofins tax exemption on fuels	54.0
Nursing minimum-wage	16.3
Postponed court-ordered debts	54.4
Additional incrase in public servants salaries	17.1
Partial compensation on ICMS (state-level VAT)	20.0
Recomposition of current expenses	11.5
Total	173.3



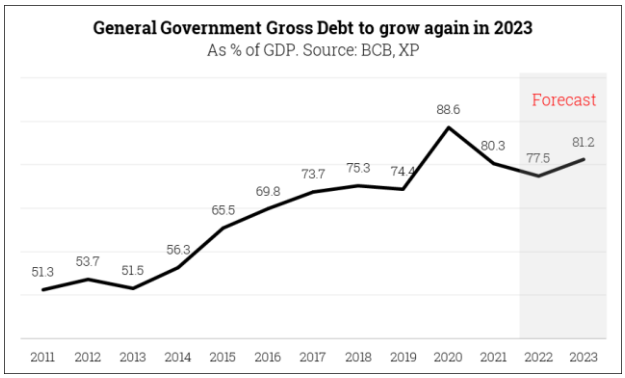
With the increase in expenses in 2023, public accounts should return to deficit. We expect an increase of approximately R$140 billion in expenses beyond the cap for next year, but our scenario does not include measures that may reduce revenues, such as the changes in personal income tax (PIT) brackets and the PIS/Cofins tax exemption on fuels.

Therefore, we estimate a deficit of BRL 91.1 billion (0.9% of GDP) for the Central Government and a deficit of BRL 67.5 billion (0.7% of GDP) for the public sector in 2023.

Public debt will rise again. The positive primary result and the transfer of financial resources from BNDES to the National Treasury should reduce the General Government Gross Debt/GDP ratio to 77.5% this year. However, as of next year, with higher expenses and higher nominal interest payments, the public debt is expected to grow by 3.7 pp., reaching 81.2% of GDP in 2023.

Risks remain very high. In addition to the new expenses mentioned, there is also the possibility of a more significant increase in the salaries of civil servants, the payment of postponed court-ordered debts, the compensation to the states for the reduction of ICMS on fuel and electricity and the financing of the nursing minimum-wage. On the revenue side, we consider the risk that the PIS/Cofins rates on fuels will remain at zero next year.

The biggest challenge will be to implement a new fiscal anchor. As we argued in our last monthly report, there is no room for significant fiscal expansion in the coming years, as public debt is at a very high level and expected to resume growth in 2023. Thus, even if the new government promotes an expansion at first, it will be necessary to implement a new rule that allows the country to have predictability regarding the trajectory of public accounts from then on.



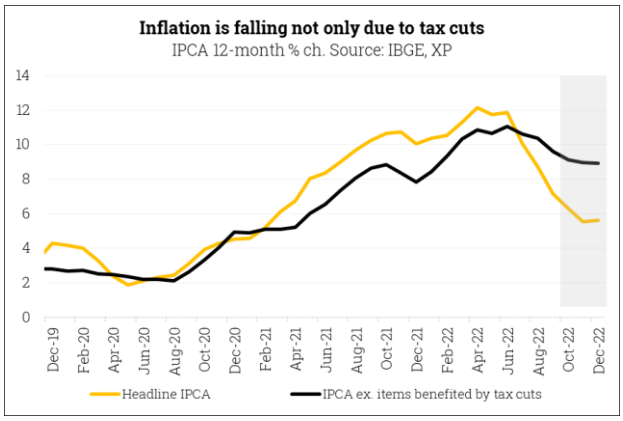
Inflation – Decline beyond tax cuts

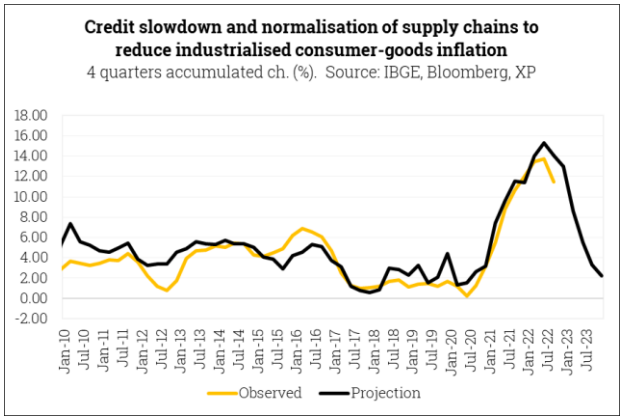
Recent data support our scenario of lower inflation this year and next. We project IPCA inflation at 5.6% for 2022 and 5.2% in 2023. The deflation generated by tax reductions and fuel price cuts has clouded the deceleration of the rest of inflation. Industrial goods and food are already showing relevant cost decompression that translates into a drop in some prices. Demand is also showing signs of deceleration.

The variation in industrialized goods is still heterogeneous but generally more benign. This group, which suffered from a shortage in supply, rising costs, and overheated demand during the pandemic, has now started to revert. Prices of consumer durables, which rose 20% between March 2020 and August this year, are now falling. In addition to the supply's normalization, demand has been declining due to higher credit costs. Semi-durable and non-durable goods, which are more sensitive to income, continue to rise, but with a more moderate variation.

With contractionary monetary policy, the likely accommodation of the disposable income mass, and normalization in the global chains, **we forecast inflation of 2% for industrial goods in 2023,** after rising close to 9% this year.

Food registered deflation in September but should rise again in October. Climatic factors weigh on fresh food. The group, however, will continue to show deflation within the animal protein and milk & dairy

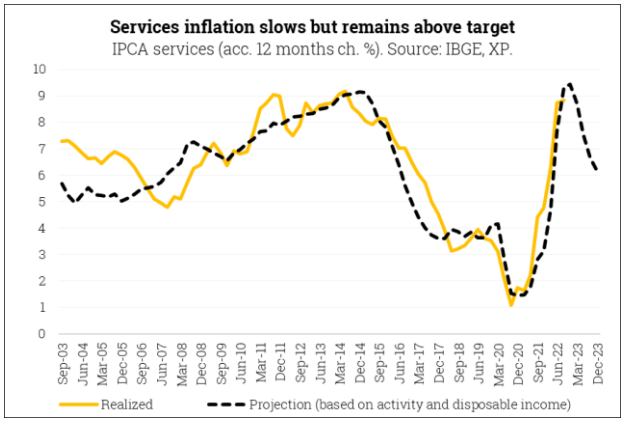




products. **For 2023, climate issues should allow good harvests of grains, cereals, and fresh foods.** Besides, the animal protein supply should continue to grow. On the other hand, high costs and lower global supply will not allow for deflation next year. Thus, we project food inflation to drop from 10.6% in 2022 to 3.5% in 2023.

Despite no signs of deceleration yet, service inflation surprised to the downside in the last two IPCA releases. Rebalancing relative prices and real disposable income at a positive level should keep the group above the inflation target next year, going from 9% in 2022 to 6% in 2023.

Finally, the group of administered goods, which should close the year with a 4.7% deflation, will rise again next year (7.6%). We continue to consider that the reductions in federal taxes on fuel will be limited to this year, as this additional revenue waiver is too heavy for a new government seeking fiscal credibility. Other monitored goods, such as health insurance and public transport, will still be under inflationary pressure to fill the gap created during the pandemic.



Despite inflation exceeding the target in 2023, the IPCA will already be on a convergence path over the relevant horizon. In the balance of risks, we attribute a slight upward bias to this year's forecast if the removal of the TUST/TUSD tax from the ICMS calculation basis of electric energy is not confirmed. For 2023, we see a downward risk due to fuel taxation. If the tax exemption is maintained, our projection will fall from 5.2% to 4.7%.

IPCA forecast		
2022	Variation	Contribution
	(YoY %)	(percentage pts.)
IPCA	5.6	5.6
Food at home	11.8	1.6
Services	8.7	3.0
Industrialized goods	9.2	2.2
Administered prices	-4.7	-1.2
2023		
IPCA	5.2	5.2
Food at home	3.5	0.5
Services	6.2	2.2
Industrialized goods	2.0	0.5
Administered prices	7.6	2.0

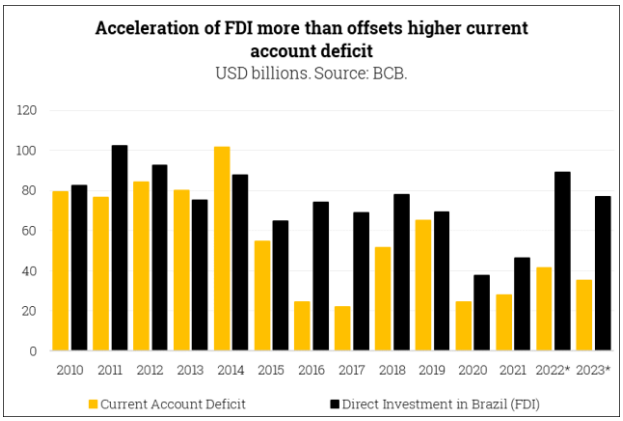
External Sector – Stable exchange rate, despite external and domestic uncertainties

The Brazilian exchange rate remained relatively stable, at around BRL/USD 5.20. On the one hand, interest rates around the world continue to rise. On the other hand, commodity prices remain at a favorable level, and domestic economic indicators show a positive dynamic (solid activity, low inflation, healthy fiscal and external results), which seem to be acting in the opposite direction, preventing a more significant depreciation of the Brazilian currency.

We maintain the expectation of R$/US$ 5.00 at the end of 2022, expecting some reduction in risk premiums with the end of the electoral uncertainties. For the end of 2023, we project R$/US$ 5.30. However, the degree of uncertainty remains high, mainly due to doubts about fiscal policy management in the new government.

The higher-than-expected net inflow of foreign investment offsets the widening current account deficit. The balance of payments results for September showed higher-than-expected foreign direct investments (FDI) inflows and a larger-than-expected current account deficit. The balance, however, remains positive, with FDI in 12 months at US$ 70 billion and the current account deficit at US$ 46 billion.

Incorporating the September results, we have revised our projections upward for the current account deficit and the FDI surplus this year. We forecast that the current account balance will reach -US$41.6 billion in 2022 (-2.4% of GDP), from -US$37.5 billion (-2.0% of GDP) before. In turn, we project that the IDP will total US$ 89.0 billion this year (5.0% of GDP); previously, we forecast US$ 79.5 billion in 2022 (4.3% of GDP).



For 2023, we maintain the projection for current transactions and FDI at -US$ 46 billion (-2.3% of GDP) and US$ 77.0 billion (3.9% of GDP), respectively.

Monetary Policy – Surveillance

In our view, domestic monetary policy is already at a significantly restrictive level. Thus, it makes sense for the Copom to stay in a "wait-and-see" mode.

Moreover, global disinflation should help with the committee's task. Monetary policy is adjusting fast in the western world, and global supply chains seem to be normalizing. Thus, due to both demand and supply reasons, global inflation should decline in 2023.

Vigilant Copom. Global and domestic uncertainties require surveillance. The Copom's flight plan seems to be keeping the Selic rate at 13.75% for the coming quarters and start easing monetary policy only (and if) inflation convergence becomes clear. Meanwhile, if fiscal policy becomes more expansionary, jeopardizing the expected path of economic slack and inflation expectations, the Selic rate may well be hiked again. We cannot rule out this possibility.

In any event, we believe that the scenario is sent for rates to fall next year. Under the hypothesis that a new and credible fiscal anchor will be adopted, we keep our scenario that the Selic rate will stay at 13.75% until mid-next year and drop to 10.00% by 2023 yearend.

XP Forecasts

	2018	2019	2020	2021	2022 (F)	2023 (F)
GDP growth (%)	1.8	1.2	-3.9	4.6	2.8	1.0
Unemployment rate (% s.a., end of period)	12.1	11.5	14.7	11.7	8.2	8.5
IPCA (CPI, 12m, %)	3.8	4.3	4.5	10.1	5.6	5.2
SELIC rate (% p.y., end of period)	6.50	4.50	2.00	9.25	13.75	10.00
FX (USDBRL, end of period)	3.87	4.03	5.20	5.58	5.00	5.30
Primary fiscal balance (% GDP)	-1.6	-0.9	-9.5	0.7	1.5	-0.7
Gross debt (% GDP)	75.3	74.3	88.8	80.3	77.5	81.2
Trade Balance (USD Bn)	46.6	35.2	50.4	61.4	46.3	54.0
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FDI (USD Bn)	78.2	69.2	44.7	46.4	89.0	77.0
FDI (% GDP)	4.1	3.7	2.9	2.9	4.8	3.9
Nominal GDP (USD Tri)	1.80	1.83	1.43	1.55	1.86	1.96
Nominal GDP (BRL Tri)	7.00	7.39	7.47	8.68	9.53	10.09

Source: IBGE, BCB, Bloomberg, XP.

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